EREGL.IS

Ereğli Demir ve Çelik Fabrikaları T.A.Ş. | Steel Manufacturing | Turkey

INİTİATİON OF COVERAGE
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Alihan Arı | Equity Research (Independent)

RECOMMENDATİON	CURRENT PRİCE	TARGET PRİCE (12M)	IMPLİED RETURN	MKT CAP
HOLD / REDUCE	**35.12 TL**	**25.22 TL**	**−28.2%**	**245.8 bn TL**

INVESTMENT THESİS

We initiate coverage on **EREGL** with a **HOLD/REDUCE** rating and a 12-month target price of **25.22 TL**, implying ~28% downside to the current 35.12 TL. While EREGL remains Turkey's leading integrated steel producer with structural advantages (vertical integration, OYAK group backing, recently completed capacity expansions), we believe current valuation has overshot operational fundamentals. Our DCF model — built on TAS 29 inflation-adjusted real-TL projections, a Damodaran-compliant WACC of 14.83%, and an Exit Multiple of 10.0x (above peer median 7.65x but below Nucor's 11.25x) — yields an intrinsic value of 25.22 TL. Triangulating with comparables analysis (peer median EV/EBITDA of 7.65x implies 17.24 TL), our blended fair value range is **17–25 TL**. We see three primary concerns: (i) margins remain at cyclical trough levels (FY25 EBITDA margin 9.8% vs 6Y avg 18.7%), (ii) the stock trades at a substantial premium to global peers (+84% on EV/EBITDA), and (iii) FY26E FAVÖK/ton recovery is largely priced in. We recommend trimming positions on strength.

VALUATİON SUMMARY — DCF

Item	Value (bn TL)
Sum of PV of FCFFs (2026E-2030E)	53.5
Terminal Value (Avg of Gordon & Exit)	280.4
PV of Terminal Value	170.2
Enterprise Value	223.7
(–) Net Debt (real TL, FY25)	47.2
Equity Value	**176.5**
÷ Shares Outstanding (mn)	7,000
Implied Share Price (TL)	**25.22**

Key assumptions: WACC 14.83% (Rf 5.5% + β·ERP 4.23% + CRP 6.64%; reel TL bazlı); Terminal g 2.5%; Exit Multiple 10.0x (peer median 7.65x + Türkiye lider premium, Nucor 11.25x altında).

COMPARABLE COMPANİES ANALYSİS

Peer	EV/EBITDA	EV/Sales
KRDMD (TR)	5.77x	0.58x
Nucor (US)	11.25x	1.64x
ArcelorMittal (LU)	7.65x	0.82x
Peer Median	**7.65x**	**0.82x**
EREGL (target)	**14.11x**	**1.38x**
Premium / (Discount)	+84%	+69%

Comps Implied Price: 17.24 TL (median of EV/EBITDA & EV/Sales methods). EREGL trades at substantial premium to both EM and DM peers, reflecting either market overvaluation or expectations of swift margin recovery not yet visible in financials.

SENSİTİVİTY — IMPLİED PRİCE (TL)

WACC ↓ / g →	1.5%	2.0%	2.5%	3.0%	3.5%
13.00%	28.15	28.58	29.05	29.56	30.13
14.00%	26.11	26.46	26.84	27.25	27.70
14.83% (Base)	24.59	24.88	**25.22**	25.55	25.93
16.00%	22.65	22.89	23.14	23.42	23.72
17.00%	21.15	21.35	21.57	21.80	22.05

Range: 21–30 TL. **Even the most optimistic scenario (WACC 13%, g 3.5%) yields 30.13 TL — below current 35.12 TL**, supporting our overvaluation thesis.

COMPANY SNAPSHOT

EREGL is Turkey's largest integrated flat steel producer (capacity ~10mt/yr including İSDEMİR), owned ~49% by OYAK. The group operates two main facilities — Ereğli (Zonguldak) and İskenderun — and recently commissioned 4 No'lu Kok Bataryası and Yeni 1 No'lu Yüksek Fırın yatırımları, expected to add $20-25/ton to EBITDA on full-year basis from FY26.

HİSTORİCAL PERFORMANCE (REAL TL)

Year	Revenue (bn TL)	Gross Margin	EBITDA Margin
2020	32	18.5%	20.8%
2021	68	37.4%	38.8%
2022	128	20.0%	20.9%
2023	148	10.6%	11.5%
2024	267	9.8%	10.3%
2025	**230**	**8.9%**	**9.8%**
6Y Avg	—	**17.5%**	**18.7%**

2025 marks cyclical trough. Margins have compressed from FY21 peak (38.8% EBITDA) on Chinese supply pressure, weak global demand, energy cost inflation. Our base case assumes only partial mean reversion (FY30E EBITDA margin ~16%).

PROJECTİON HİGHLİGHTS (BASE CASE)

Metric	2026E	2028E	2030E
Revenue Growth	8%	4%	3%
Gross Margin	10%	13%	14%
EBITDA Margin	11.5%	15.5%	16.5%
FCFF (bn TL real)	4.7	19.4	24.6

RİSKS & CATALYSTS

▲ UPSİDE RİSKS

- Çin teşvikleri ile küresel çelik fiyat toparlanması
- Anti-damping vergileri / yerli girdi zorunlulukları
- Sivas altın madeni rezervi (424k oz, %7 ek hedef potansiyel)
- FAVÖK/ton'un beklentinin üzerinde recovery

▼ DOWNSİDE RİSKS

- Çin'in arz fazlası kalıcılaşırsa fiyat baskısı
- Enerji/hammadde maliyetlerinde ek artış
- TL'de zayıflama → USD-bazlı borç servisi yükü
- Küresel resesyon riski (otomotiv, inşaat talebinde düşüş)

Methodology: DCF on real-TL FCFF projections (2026E-2030E) using TAS 29 inflation-adjusted historicals from İş Yatırım. WACC computed via Damodaran 2025 country risk methodology (TR total ERP 10.87% = mature ERP 4.23% + CRP 6.64%). Terminal Value = average of Gordon Growth (g=2.5%) and Exit Multiple (10.0x). Comps use LTM data; multiples are dimensionless and currency-neutral. Sources: KAP, İş Yatırım, Borsamatik, Macrotrends, WallStreetZen, Damodaran.